

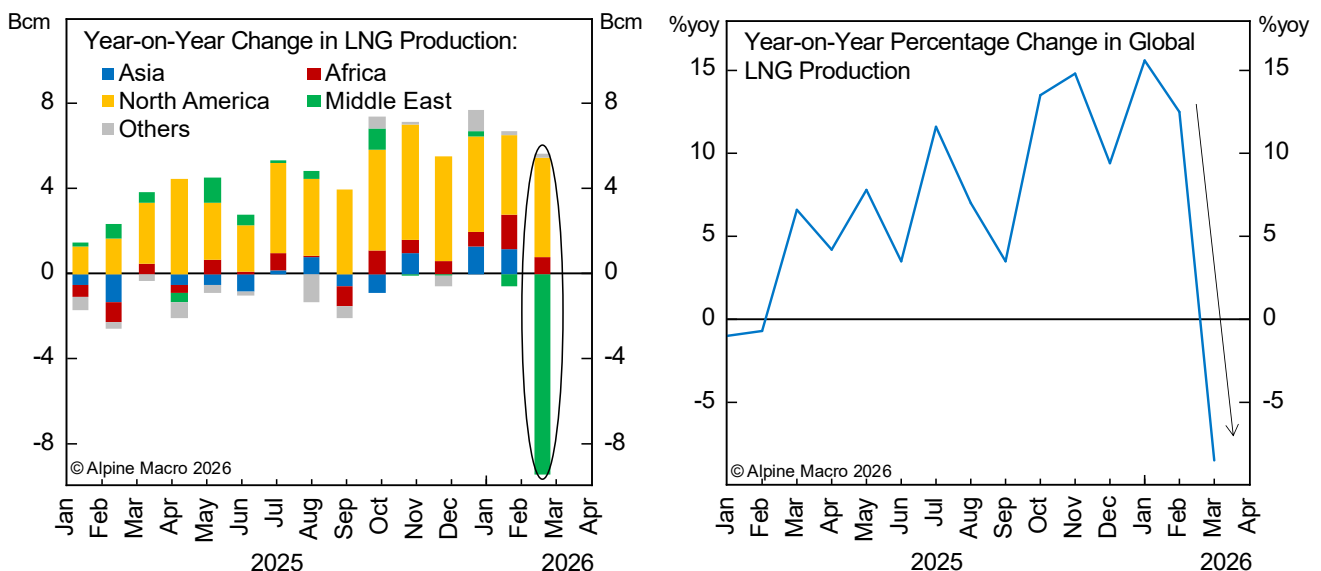
Post-War Natural Gas Repricing

- Beyond the war-driven disruption, the key risk for natural gas markets lies in the unwind: normalization of flows through the Strait of Hormuz and supply recovery could drive material downside as markets reprice into a structurally looser LNG balance.
- The war impact is partially offset by supply growth from producers outside the Middle East. A record wave of LNG capacity additions through 2026–2030 will be sufficient to more than offset Qatar's offline capacity and project delays over time.
- Demand is adjusting in parallel, amplifying rebalancing risks as major importers face a softer consumption outlook.
- Differences across several critical dimensions between the current shock and the 2022 gas crisis justify a less extreme and less persistent price response today.
- The wide gap between JKM/TTF and the cost-plus breakeven of U.S. LNG deliveries into Europe and Asia looks difficult to sustain. Forward curves imply price easing from Q3 2026 through the 2026/27 winter, but likely underestimate the risk of a more pronounced adjustment beyond that point.

Since the onset of the Iran conflict, global liquefied natural gas (LNG) markets have re-priced sharply, with Asian LNG and European gas benchmarks up 77% and 33%, respectively. The move reflects severe disruption to LNG shipping through the Strait of Hormuz—a corridor handling roughly one-fifth of global LNG trade—alongside damage to Qatar's Ras Laffan facility, where strikes temporarily took liquefaction capacity offline.

Last Sunday, it was announced that the U.S. and Iran reached a framework agreement, with a formal ceremony scheduled to be signed this Friday that would end the U.S. blockade of Iranian ports and reopen the Strait of Hormuz. In this context, although uncertainty remains around the subsequent 60-day negotiation phase covering the nuclear file, sanctions relief, and other unresolved issues, market focus is expected to shift from the supply shock toward post-conflict rebalancing.

Chart 1: Supply Shock Partially Offset By Non-Middle East Growth



Source: Alpine Macro, IEA

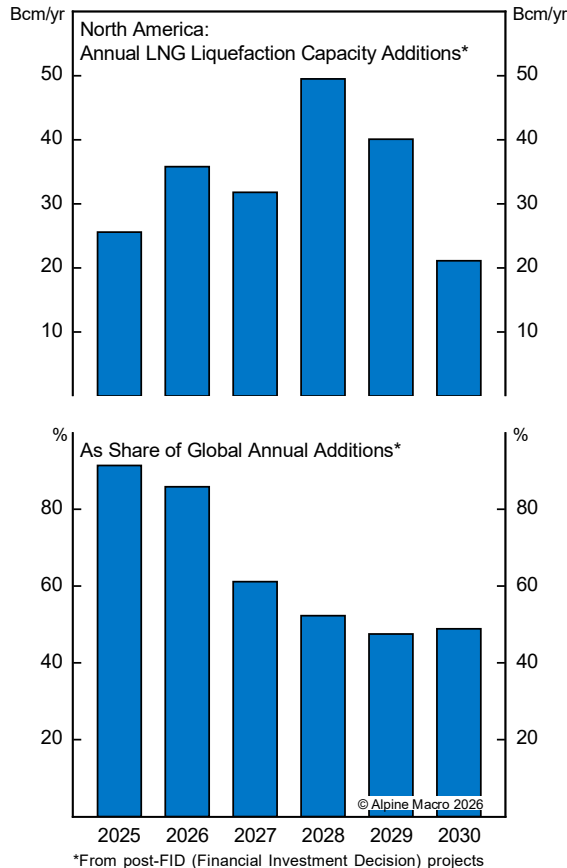
Beyond the war disruption, the key risk lies in the unwind: once flows through the Strait of Hormuz normalize and supply recovers, prices could adjust materially lower as markets reprice ample supply and softer-than-expected demand into a structurally looser backdrop.

Can The World Replace Lost LNG Supply?

The Iran conflict has materially distorted global LNG market fundamentals, but primarily in the short term rather than structurally.

After several years of relative tightness, market fundamentals had already begun to ease in the second half of 2025 as a wave of new LNG supply gradually loosened global balances. The conflict, however, interrupted this trend, with disruptions to Middle Eastern supply causing global LNG production growth to swing from double-digit year-on-year gains in January–February 2026 to a contraction in March 2026.

Chart 2: Non-Middle East LNG Supply Growth Set To Accelerate



Source: Alpine Macro, IEA Global LNG Capacity Tracker

The actual impact of the supply disruption has been less severe than initially feared, as production growth outside the Middle East has partially offset volumes lost in the region. As shown in [Chart 1](#), losses from the Middle East have been mitigated by output growth elsewhere, particularly North America and Africa, with year-on-year growth of roughly 9% in March 2026. Looking ahead, LNG supply growth outside the Middle East is set to strengthen further, led by liquefaction capacity ramping up in North America, particularly the U.S., Canada, and Mexico ([Chart 2](#)).

Globally, a substantial wave of LNG export capacity from projects that had already reached final investment decision and were under construction as of 2025 is scheduled to come online during 2026–2030, marking the largest LNG capacity expansion cycle on record. Annual capacity additions are expected to continue to accelerate over the next couple of years, peaking in 2028 before moderating through 2029–2030.

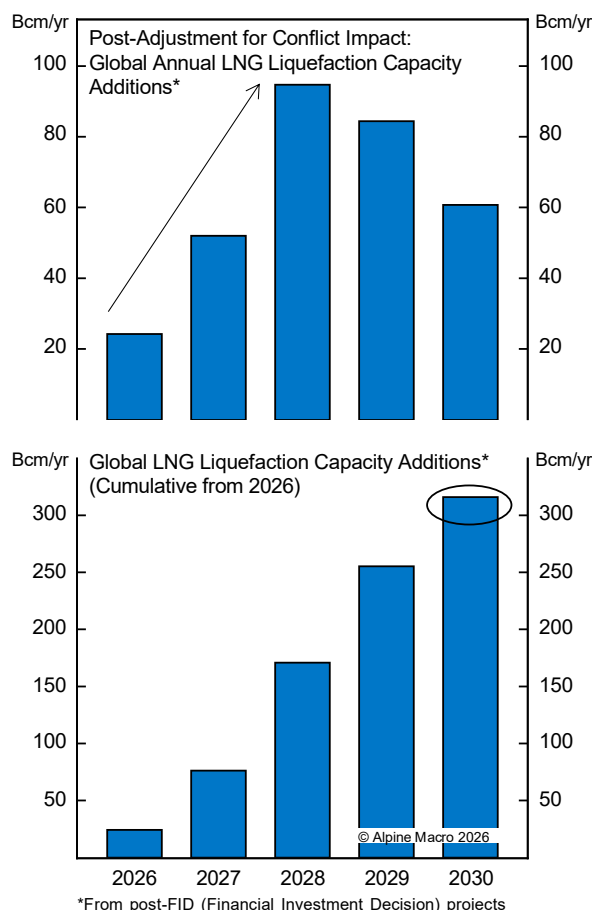
The conflict's longer-term impact on supply appears contained within the context of this broader expansion wave. Current estimates suggest that the two damaged liquefaction trains at Qatar's Ras Laffan complex represent approximately 17.5 billion cubic meters per year (bcm/yr) of LNG capacity, with a repair period of 3–5 years. In addition, the conflict is likely to delay Qatar's North Field East (NFE) expansion by roughly one year. The project has a total nameplate capacity of 44 bcm/yr, with Train 1 originally expected online in late 2026, followed by subsequent trains through 2028 at around 11 bcm/yr each, implying a rightward shift in the ramp-up profile rather than outright cancellation.

Yet, even after accounting for these effects, the broader supply outlook remains strongly constructive. A back-of-the-envelope assessment suggests that the combined impact—a temporary loss of roughly 17.5 bcm/yr of capacity during the outage period and a one-year delay to 11 bcm/yr of incremental NFE capacity per train—does not alter the trajectory of global LNG capacity expansion over the next few years. As shown in [Chart 3](#), annual LNG capacity additions are expected to more than offset these impacts, while cumulative capacity additions are still set to exceed 300 bcm/yr ([Chart 3](#), bottom panel).

In other words, while the conflict's impact on capacity is significant, it is more than offset by the scale of new LNG capacity scheduled to come online globally over the period. As a result, the Iran war's longer-term

impact on global LNG supply appears limited rather than transformative.

Chart 3: LNG Capacity Wave More Than Absorbs Qatar Infrastructure Damage And Project Delays



Source: Alpine Macro, IEA Global LNG Capacity Tracker

Bottom line: The impact of the LNG supply shock has been mitigated by supply growth outside the Middle East. Post-conflict, even after accounting for multi-year repairs to infrastructure damage in Qatar and delays to expansion projects, the record LNG capacity wave already underway is large enough to more than offset that impact over the coming years.

Demand-Side Rebalancing

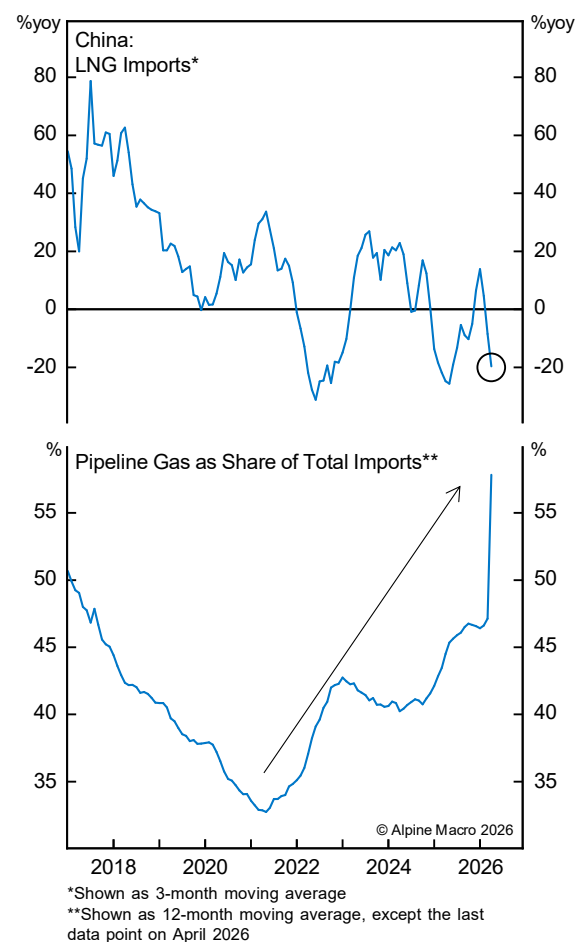
While gas producers outside the Middle East are increasing supply, demand adjustment is emerging as a key force in market rebalancing, particularly in Asia and Europe.

The global demand outlook is already softening. Prior expectations for 2026 were built on improving LNG availability and continued growth in Asian consumption. The Iran conflict has challenged that assumption. With the supply disruption concentrated

in the Middle East—the source of a material share of Asia's LNG imports—the region has become the primary channel through which supply disruptions are transmitting into demand weakness.

Recent data already point to a meaningful adjustment. Asian LNG imports fell by around 5% year-on-year in March, largely driven by China, where LNG imports plummeted by roughly 20% from a year ago ([Chart 4](#), top panel). While part of the weakness reflects cyclical factors, structural forces are increasingly important. China's domestic gas production continues to expand, and pipeline imports have gained significant share within total imports since 2021 ([Chart 4](#), bottom panel), and ongoing market reforms are improving supply flexibility, gradually reducing reliance on imported LNG.

Chart 4: China LNG Demand Weakness Increasingly Structural, Not Just Cyclical



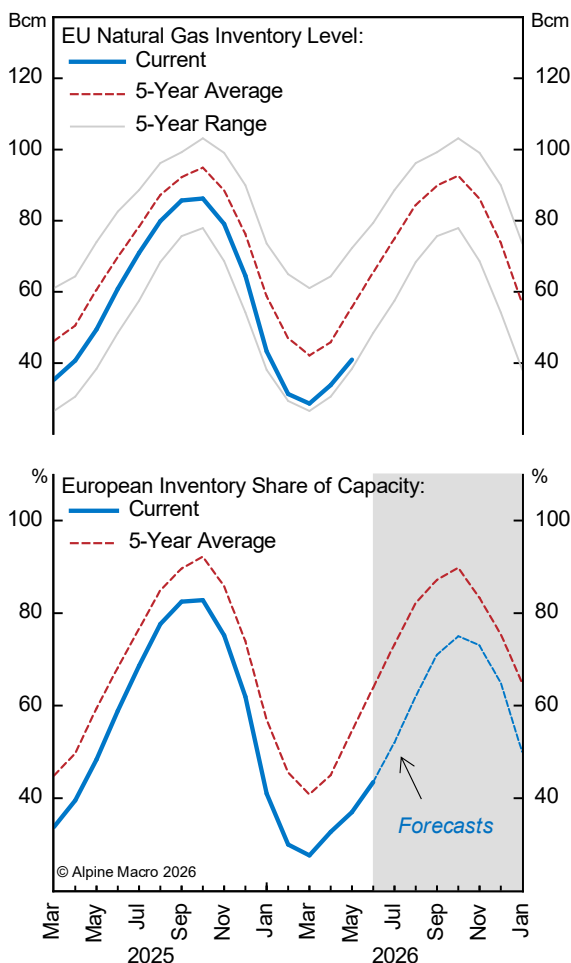
Source: Alpine Macro

Across the wider region, elevated prices and policy responses are reinforcing demand restraint. In Japan and South Korea, where gas demand remains heavily

concentrated in the power sector, the combination of nuclear restarts and fuel-switching measures is limiting gas consumption. Japan's structural decline in gas demand remains intact as nuclear capacity returns and electricity demand growth stays subdued. In South Korea, the restart of Kori Unit 3 and the commissioning of Saeul Unit 3 later this year are expected to increase nuclear generation and ease demand for gas-fired power.

India is pursuing a more direct demand-management strategy. With almost 60% of LNG imports exposed to Middle Eastern supply routes, authorities have introduced priority allocation mechanisms that safeguard residential and transport demand while restricting supply to less critical industrial and commercial consumers. The result has been partial curtailments in selected sectors and increased fuel switching toward alternative liquid fuels, reducing gas consumption at the margin.

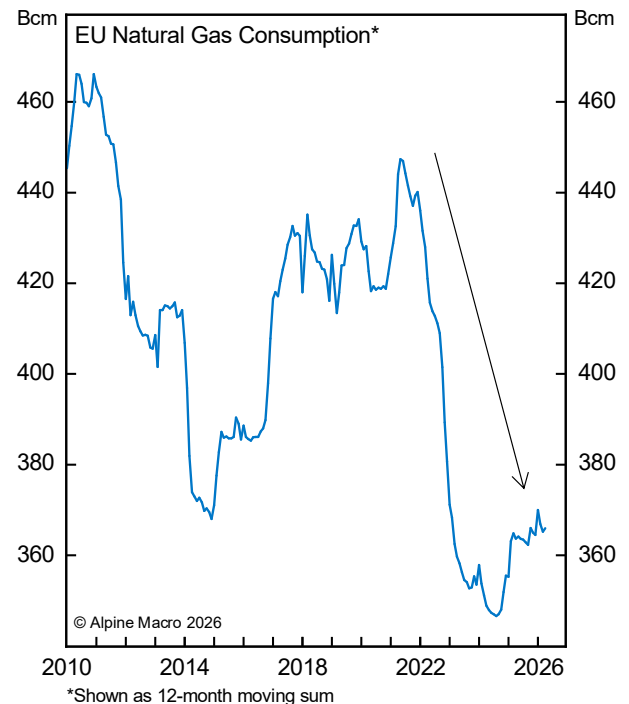
Chart 5: Europe Storage Demand Outlook
Recalibrates Lower



Source: Alpine Macro, Celsius Energy

Europe is also likely to contribute to softer global demand growth. EU gas consumption fell by around 5% year-on-year in March, while European LNG imports recorded their first year-on-year decline since late 2024. Before the Iran war, Europe was widely expected to absorb a substantial share of incremental global gas supply in 2026 as it rebuilt inventories from relatively low storage levels entering the refill season (Chart 5, top panel). That assumption is becoming less certain. Still elevated prices and a temporarily tight global balance are likely to limit storage injections in the near term, reducing Europe's incremental demand until supply conditions normalize. Although the EU's headline storage target remains 90% of capacity, existing flexibility mechanisms could lower the effective requirement to 75% under severe market stress. Assuming inventories peak near that level by end-October, refill demand would be materially below both the 5-year average and pre-war expectations (Chart 5, bottom panel).

Chart 6: The Structural Downtrend In EU Gas Demand

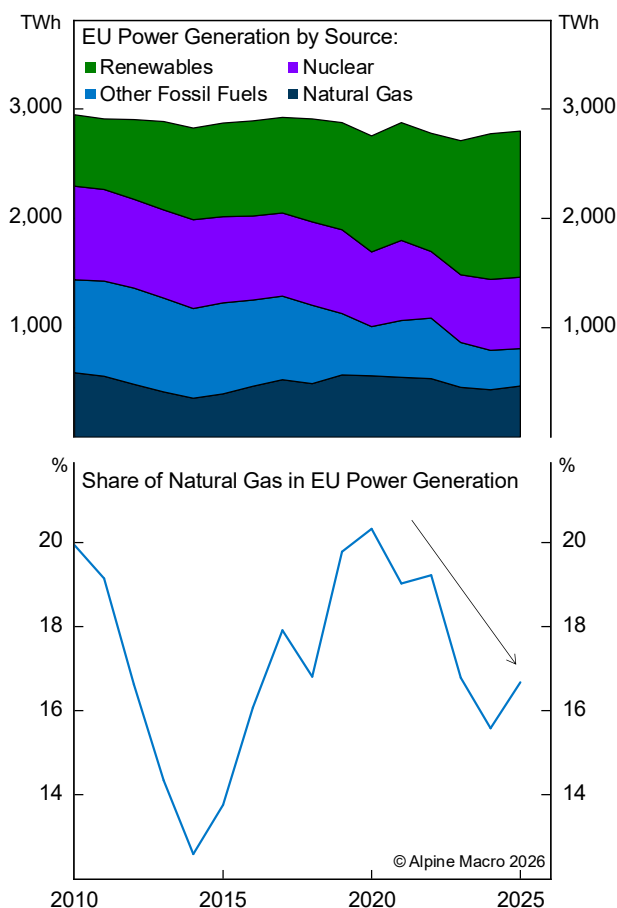


Source: Alpine Macro

Critically, European gas consumption remains in structural decline (Chart 6). During the past few years, renewable generation has expanded significantly while electricity demand has remained broadly flat, leading to sustained displacement of fossil generation (Chart 7, top panel). Alongside coal,

natural gas has accounted for a meaningful share of this decline and remains structurally vulnerable within the power mix. Gas-fired generation accounted for almost a third of the EU's fossil-power decline since 2021, with its share of electricity generation falling to about 16.5% in 2025 from 19% in 2021 (Chart 7, bottom panel).

Chart 7: Renewables Set To Continue Displacing Gas In The EU Power Mix



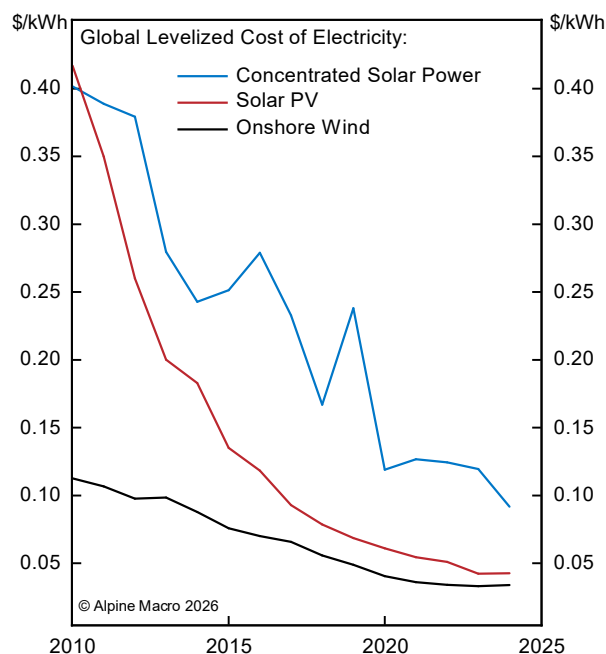
Source: Alpine Macro, Ember

More broadly, the Iran war is likely to reinforce the shift toward renewables. Energy security concerns will accelerate diversification, while wind and solar retain a widening economic advantage after more than a decade of cost declines (Chart 8). By contrast, natural gas remains exposed to geopolitical disruptions and recurring price volatility, strengthening structural demand headwinds across major importing markets.

Bottom line: The supply shock has tightened the market, but demand is adjusting alongside it. Structural demand headwinds are likely to persist and could be reinforced by the Iran conflict as energy security concerns accelerate diversification toward

renewables. As a result, demand-side rebalancing is likely to deepen the post-conflict market surplus and amplify downside risks to gas prices.

Chart 8: Renewables Are Increasingly Cost-Competitive



Source: Alpine Macro, IRENA

2026 Is Not 2022: A Different Gas Shock

It is natural for investors to compare the current shock with the 2022 European gas crisis. While both episodes involve a large volume of supply being removed from the global market, the fundamental backdrop, adjustment capacity, and transmission dynamics differ in several critical respects.

- Pre-shock fundamentals were materially different. The 2022 Russian gas shock hit into an already tightening market in 2021–2022, amplifying an ongoing price upswing and extending an existing bull cycle. The result was a compounding of scarcity into an already elevated pricing environment. By contrast, the 2026 disruption arrives just as global LNG markets were transitioning into a multi-year expansion phase, with the structural backdrop shifting toward looser balances, underpinned by a record wave of sanctioned and under-construction liquefaction capacity.
- Adjustment capacity also diverges sharply between the two episodes. In 2022, Europe's response was constrained by binding infrastructure limits across

pipelines and LNG regasification terminals. The price impact therefore reflected not only the loss of Russian supply, but also physical bottlenecks that restricted the ability to substitute flows at pace, intensifying regional congestion pricing dynamics. In 2026, by contrast, the system is far more flexible. The constraint is no longer physical import capacity, but competition for marginal supply within a globally integrated and tighter LNG pool.

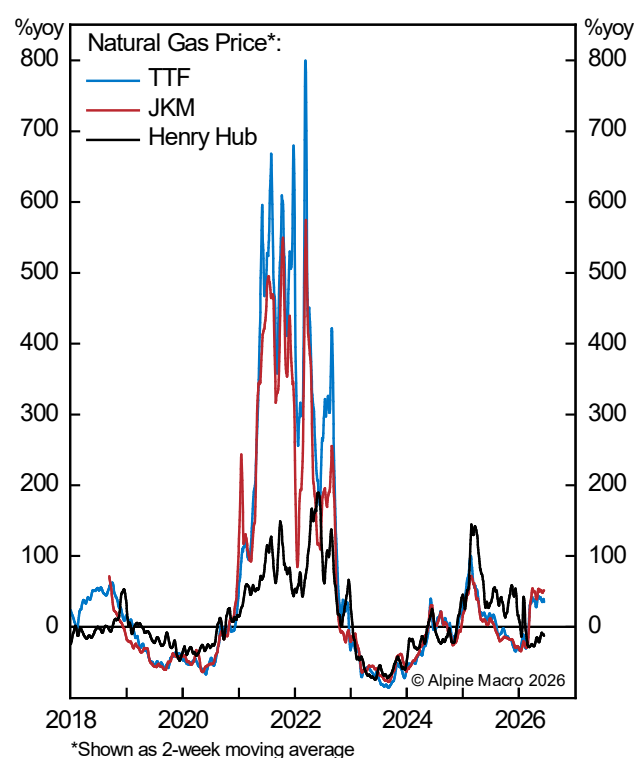
- The duration and path of disruption further distinguish the two shocks. The 2022 crisis unfolded over an extended period, with Russian pipeline exports to the European Union (EU) declining in stages, from about 140 bcm in 2021, to 60 bcm in 2022, and further to 30 bcm in 2023—amounting to a reduction of around 110 bcm relative to 2021 levels, over multiple years. The current shock is markedly more abrupt, with LNG volumes effectively removed following disruption to flows through the Strait of Hormuz and curtailments in production. The adjustment window is therefore materially more compressed rather than gradual.
- Another important difference lies in the transmission to U.S. gas markets. The 2022 European crisis generated significant spillovers into Henry Hub prices as Europe's scramble to replace Russian gas pulled increasing volumes of U.S. LNG onto the global market, tightening domestic gas balances. In 2026, that transmission channel is largely absent. U.S. LNG export facilities were already operating near full capacity before the Iran conflict began. While a new wave of U.S. LNG export capacity is set to ramp up over the coming quarters, the industry's immediate ability to redirect additional domestic gas into export markets remains constrained. As a result, the loss of Middle Eastern LNG supply has not created a comparable draw on U.S. gas balances, leaving Henry Hub largely insulated from the LNG-driven shock.

These key distinctions help explain the divergence in benchmark price reactions ([Chart 9](#)). They also suggest that today's response is likely to be less extreme and less persistent than in 2022.

Bottom line: The 2022 shock occurred with an already tight fundamental backdrop and was amplified by a structurally tight regional system with limited substitution capacity, resulting in extreme and

relatively persistent price responses and global spillovers. The 2026 disruption, while still material, is unfolding in a more globally balanced LNG market with a record wave of LNG supply already locked in and greater system flexibility, leading to a less extreme and likely less durable price impact.

Chart 9: 2026 vs 2022 Gas Shock: Key Differences Drive Divergent Price Reactions



Source: Alpine Macro, Bloomberg Finance L.P.

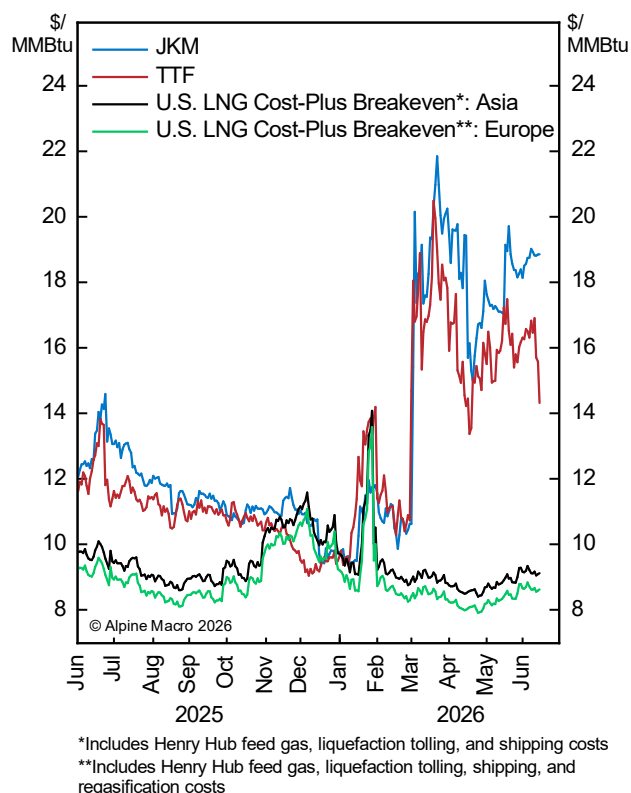
Investment Conclusions

The sharp repricing in global gas markets has created an unusually wide disconnect between benchmark prices and the marginal cost of supply. At the peak of the disruption, Asian and European gas prices were trading more than \$12/MMBtu above the cost-plus breakeven of delivering U.S. LNG into European and Asian markets ([Chart 10](#)). While such pricing is understandable during an acute supply shock, sustaining it over a longer horizon appears increasingly difficult, as the premium reflects immediate supply concerns rather than a structural tightening of global LNG balances or a shortage of supply capacity.

This creates a clear asymmetry in price risks. The upside is largely contingent on the persistence of supply disruptions, while downside risks are increasingly material. A correction is likely once

Middle Eastern flows normalize or incremental LNG supply from the U.S. and other key producers reaches the market at scale. As new liquefaction capacity ramps, the system's ability to convert low-cost U.S. gas into exportable LNG will improve, adding further downward pressure on marginal pricing.

Chart 10: Wide Benchmark–Cost Gap Appears Difficult To Sustain



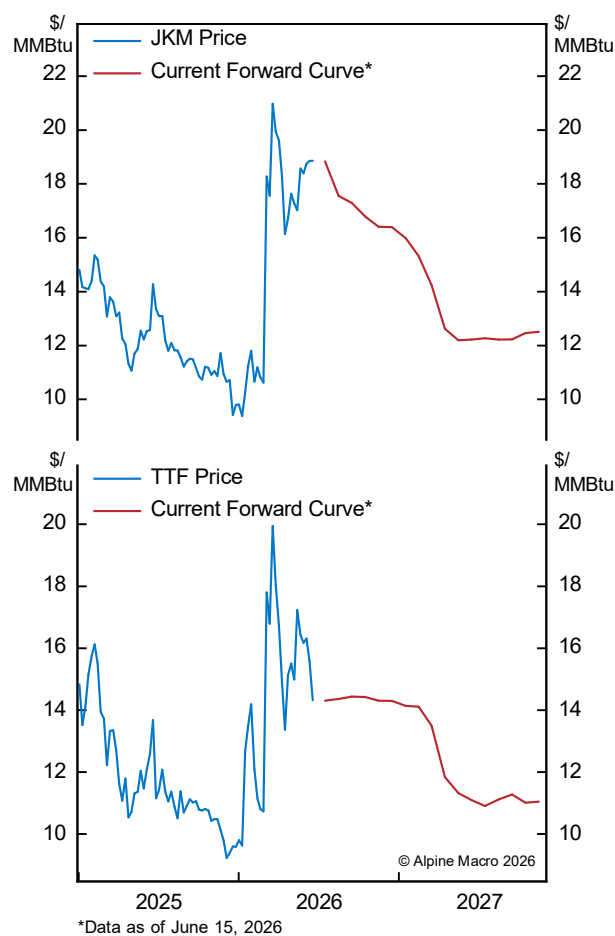
Source: Alpine Macro, Bloomberg Finance L.P.

Forward curves are currently pricing a meaningful easing from Q3 2026 through the 2026/27 winter, before prices level off and trade broadly flat beyond that point (Chart 11). While this reflects the market view that the recent price reaction to the shock is short-lived, it likely understates the risk of a more pronounced adjustment beyond the 2026/27 winter, as the market moves into a structurally looser balance, with downside overshoot risk.

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Chart 11: Forward Curves Understate Post-2026/27 Winter Downside Risk



Source: Alpine Macro, Bloomberg Finance L.P.

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Investment Recommendations

Tactical Investment Positions (3-6 Months)						
Recommendations	Open Date	Open Levels	Stop	Closing Date	Closing Levels	P&L Since Inception
Long LME Copper	07/22/2025	9,837	Rolling -10%	-	-	39.0%
Long Global X Copper Miners ETF	07/22/2025	44.88	42.6	-	-	100.1%
Long S&P GSCI Index	08/05/2025	3,786	Rolling -10%	-	-	38.0%
Short SGX IODEX Iron Ore Futures	09/16/2025	105.5	110.8	-	-	3.2%
Long LME Aluminum	11/25/2025	2,792.6	2,653	-	-	20.3%
Long LME Copper / Short SGX IODEX Iron Ore Futures	12/09/2025	11,648.8/ 106.1	-5%	-	-	21.1%
Long LME Aluminum / Short SGX IODEX Iron Ore Futures	12/09/2025	2,855.4/ 106.1	-5%	-	-	21.4%
Long Silver (\$SLVR)	05/18/2026	61.31	55.2	-	-	-5.8%

Source: Alpine Macro

Note: P&L is calculated using daily closing prices.

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